

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Justices signaled** that the Supreme Court will likely allow Fed board member Lisa Cook to remain in the job while her legal challenge to her dismissal proceeds in the lower courts. **A1**
- ◆ **The S&P 500, Dow** and Nasdaq all rose 1.2% after Trump said he and NATO had agreed on a framework for a deal on Greenland. **B1**
- ◆ **The number of homes** going under contract in the U.S. slipped in December, according to a National Association of Realtors index. **A4**
- ◆ **Nvidia Chief Executive** Jensen Huang said artificial intelligence is already bringing economic benefits and needed more investment. **B4**
- ◆ **The gulf between** senior executives' and workers' experience with generative AI is vast, a survey of 5,000 white-collar workers found. **B1**
- ◆ **For the first time** since the start of the private-credit boom, large numbers of individual investors are trying to get their money out. **A1**
- ◆ **J&J reported higher** quarterly revenue and profit on the back of growth in sales of drugs for cancer and autoimmune conditions. **B3**
- ◆ **Amazon is launching** the largest retail store in its history, planning a property of about 230,000 square feet in the Chicago suburbs. **B1**
- ◆ **Charles Schwab reported** a 34% increase in quarterly profit after trading and net interest revenue climbed. **B3**
- ◆ **Dos Equis marketing** brought back the original Most Interesting Man in the World 10 years after the title went to a younger actor. **B2**

Worldwide

- ◆ **Trump backed away** from threats associated with Greenland and said he had formed a framework for a deal on the future of the world's largest island. **A1, A6**
- ◆ **After pulling back** from strikes on Iran last week, Trump is still pressing aides for "decisive" military options, U.S. officials said. **A5**
- ◆ **The Trump administration** is asserting new powers to forcibly enter the homes of immigrants they hope to arrest without a criminal warrant signed by a judge. **A3**
- ◆ **A GOP-led House** panel voted to find former President Bill Clinton and Hillary Clinton in contempt of Congress for refusing to appear for depositions on Epstein. **A3**
- ◆ **A former Uvalde** school district police officer charged for his role in the bungled response to the 2022 mass shooting at Robb Elementary School was acquitted by a Texas jury. **A3**
- ◆ **Trump accelerated** his effort to ban institutional investors from buying single-family homes, laying out new steps to stop those purchases. **A3**
- ◆ **The Qatari-donated plane** being overhauled to become a new Air Force One jet is on track to be delivered to Trump this summer, according to the Air Force. **A2**
- ◆ **A man who admitted** assassinating Japan's former Prime Minister Shinzo Abe was sentenced to life in prison. **A7**
- ◆ **Israeli forces killed** at least 11 Palestinians in Gaza, including three journalists, hospitals in the enclave said. **A7**

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President Trump spoke Wednesday in Davos, Switzerland, delivering strident criticisms of U.S. allies in Europe.

Trump, With Deal in Sight, Backs Off Greenland Threats

President rules out using force to take island and cancels tariffs on Europe

By Alex Leary, Daniel Michaels, Bertrand Benoit and Robbie Gramer

military to take control of Greenland and called off promised tariffs on European na-

tions, a head-spinning U-turn as he said he "formed the framework of a future deal" regarding the world's largest island. The about-face followed days of back channel conversations between Trump, his advisers and European leaders, including North Atlantic Treaty Organization Secretary-General Mark Rutte and German Chancellor Friedrich Merz, according to people close to the talks. The Europeans, who stood united in their opposition to Trump acquiring Greenland, employed a mix of enticements, such as offers to boost Arctic security, and warnings, including about

the dangers to the U.S. of a deeper rupture in NATO. After a meeting with Rutte on Wednesday, Trump called off promised tariffs on European nations. The exact contours of the deal framework are still in flux, but negotiations are expected to center on several areas, according to officials in Europe familiar with the discussions. They include a potential U.S. agreement with Denmark about stationing forces at bases in Greenland and expanded European efforts to boost security around the Arctic. The U.S. could re-

ceive a right of first refusal on investments in Greenland's mineral resources—a veto aimed at preventing Russia and China from tapping the island's wealth—and in exchange Trump would take tariff threats off the table, the officials said. Speaking to reporters, Trump called the framework "really fantastic," but offered few details. He said he assumes *Please turn to page A6*

◆ **Denmark has long controlled Greenland..... A6**
◆ **Stocks rally as trade-war fears ease..... B1**

Investors Hit the Exits of Private-Credit Funds

By MATT WIRZ

For the first time since the start of the private-credit boom, large numbers of individual investors are trying to get their money out. Several of the biggest funds eligible to wealthy individuals received requests from about 5% of shareholders to cash out at the end of last year, well above the normal volume, according to SEC filings. One, managed by Blue Owl, got redemptions for about 15% of its shares, primarily from Asian clients, a person familiar with the matter said.

The rising redemptions come at an awkward time for private-credit fund managers—and for the Trump administration—as they push for new rules that would "democratize" private markets by encouraging their inclusion in 401(k) retirement plans for all Americans. Private-fund managers, including Apollo Global Management, Blackstone and Blue Owl, blame fearmongering about a recent spate of corporate bankruptcies, like automotive supplier First Brands, for the surge of withdrawals. Analysts said there could be a

simpler explanation: Individual investors are falling into a familiar pattern of selling out when an asset class underperforms expectations. "These investors get really surprised when their dividends go down," said Robert Dodd, an analyst at Raymond James who covers business-development companies, or BDCs, the private-credit funds most heavily marketed to individual investors. BDCs typically make high-interest loans to midsize corporations with junk credit ratings, using the interest income from those loans to

pay dividends. A handful of these funds have cut dividends because the yields on their loans are falling in lockstep with benchmark interest rates. More dividend reductions will follow, Dodd said, likely prompting more redemptions. Total returns from five of the largest private credit funds aimed at individual investors declined to an average of about 6.22% in the first nine months of 2025, compared with 8.76% in the same period of 2024 and 11.39% in 2023, according to an analysis by The Wall Street Journal.

Money managed by BDCs has tripled since 2020 to about \$450 billion. And the funds still took in more money from new investors than they paid out in their most-recent quarter, a sign they are still popular among investors and advisers. Nevertheless, the recent withdrawals are drawing comparisons to a Blackstone private real-estate fund that faced an exodus of client cash three years ago. The episode raised questions about how well even wealthy individuals understand the investment products *Please turn to page A2*

Musk Race For SpaceX IPO Tied to Orbiting AI Data Centers

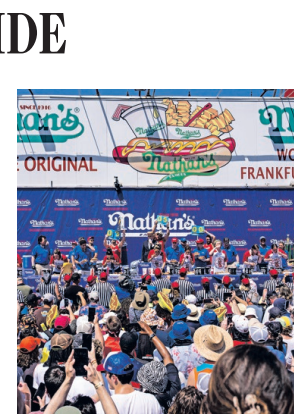
SpaceX resisted going public for years. Then came the rise of artificial intelligence. Elon Musk's rocket maker became one of the country's most valuable private companies due in part to its ability to develop risky space busi-

By Corrie Driebusch, Emily Glazer and Micah Maidenbergl

nesses outside the scrutiny of public investors. Its executives liked to say the company wouldn't IPO until its rockets were regularly flying to Mars. That was before the rush to build data centers for AI computing prompted Musk, Jeff Bezos and others to propose putting them in space. The idea has prompted skepticism from many engineers, given the technical challenges posed by building solar-powered AI data centers that zip around Earth. But it has continued to gain traction and Musk has become *Please turn to page A2*



PERSONAL JOURNAL
Even MBA grads from top schools are facing challenging job searches. **A9**



BUSINESS NEWS
Smithfield to buy hot-dog brand Nathan's Famous in \$450 million deal. **B3**

New Hampshire Lawmakers Are Tired of Getting Paid Like It's 1889
* * *
Members of America's largest state legislature fight for a raise; '\$100 a year is just ludicrous'

By SCOTT CALVERT

Think you're overdue for a raise? Try being a New Hampshire state legislator. Their pay has been frozen at the equivalent of \$100 a year ever since flinty voters etched it into the state constitution

back in '89. 1889, that is. Small wonder Granite State lawmakers are the lowest paid in the U.S. Their counterparts in most states have salaries, and the average was \$47,900 last year, the National Confer- *Please turn to page A10*

Hot-Selling Chinese EVs Head To Global Reign

U.S., European Union and Mexico try to quash accelerating demand

By STEPHEN WILMOT AND SANTIAGO PÉREZ

Julian Scot-Smith was window shopping at a Porsche dealership with his wife in London's fancy Mayfair district before Christmas, sizing up the SUVs. Then the couple peeked into another dealership around the corner. "We were thinking of treating ourselves to one of the German brands, but these Chinese cars look fantastic," said Scot-Smith, eyeing a \$60,000 BYD Sealion 7. Not long ago, few would buy the idea that a Chinese electric-vehicle maker such as BYD could sweep European buyers off their feet, competing against Volkswagen, Toyota and even such luxury brands as BMW and Porsche. Yet BYD is leading a pack of Chinese automakers

whose global export onslaught has surpassed even bullish expectations. The Shenzhen-based automaker delivered more than a million vehicles outside China in 2025, the company said, more than double the previous year's total. China surpassed Japan in 2023 as the world's No. 1 auto exporter. Last year, it shipped 7.1 million vehicles from its pool of domestic automakers, according to the China Association of Automobile Manufacturers, up from 5.9 million the previous year. BYD, which replaced Tesla as the world's biggest EV seller, is one of Beijing's national champions. "BYD wants to become one of the most relevant players in Europe, and in a very short period," said Alfredo Altavilla, a veteran industry executive advising *Please turn to page A8*

Justices Likely To Let Cook Keep Fed Job

Court signals unease about president's bid to fire official and gain more control

By JAMES ROMOSER AND NICK TIMIRAO

WASHINGTON—Supreme Court justices across the ideological spectrum expressed deep unease on Wednesday about President Trump's attempt to fire a member of the Federal Reserve, with several stressing the importance of a central bank insulated from political pressure. Their comments during nearly two hours of oral arguments signaled that the court will likely allow Fed board member Lisa Cook to remain in the job while her legal challenge to her dismissal proceeds in the lower courts. Justice Brett Kavanaugh, a Trump appointee, highlighted the long history and economic impetus of shielding monetary policy from White House control. The Trump administration's claims of broad and unreviewable firing authority "would weaken, if not shatter, the independence of the Federal Reserve," Kavanaugh warned. And he cautioned that such a broad power would pass to other presidents, allowing a future Democrat to dismiss anyone Trump appoints to the Fed during the remainder of his term. "Thinking big picture, what *Please turn to page A4*